DRAGONCANDY

Pricing, Profitability & Path to Scale

A Plain-English Strategic Briefing for Business Partners & Investors

How a lean, AI-powered creator marketplace gets to $2-4M annual profit on $5-10M revenue — without raising venture capital, and without becoming irrelevant when the AI landscape shifts.

THE THREE NUMBERS THAT MATTER

> Customer pays us: $350-$500/mo | We pay to get them: $500-$1,500 | We earn that back in: 4-6 months

Prepared by the DragonCandy Team

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Section 1: Executive Summary

The Bottom Line in One Paragraph

DragonCandy is a digital meeting place — like Airbnb, but for restaurants and local content creators. Restaurants need short-form social media content (photos, reels, stories) to drive customers in the door. Creators need paying gigs. We connect them, charge a small monthly fee, take a small cut of each deal, and offer same-day rush delivery for a premium. We can be cash-flow positive within 18 months of launch and produce $2-4M in annual profit by year three on a team of 8-12 people. We do not need to raise venture capital to get there.

Where We Are Today — An Honest Snapshot

Before we talk about projections, here's exactly where DragonCandy stands right now:

Metric	Current State
Users on platform	~30 (organic, zero marketing spend)
Paying customers	0 (pre-revenue; Stripe is in test mode)
Monthly operating cost	~$295/month total
Marketing spend to date	$0
Team size	1 (founder + AI development tools)
Platform status	Fully built, feature-complete for launch

Our entire platform runs for less than $300/month. That's $295 split across four tools: Claude AI ($200), OpenAI ($20), Lovable.dev hosting ($50), and Supabase database ($25). There is no payroll, no office, no ad spend. Every feature described in this document is built and live on dragoncandy.io — we are pre-revenue by choice, not by capability.

What This Document Explains, in Plain English

- Exactly what DragonCandy does for each of the three customer types: restaurants, creators, and brand sponsors — verified against the actual working software, not a wish list.
- How much we charge today, what we recommend changing, and what each customer actually gets.
- How much it costs us to find and sign up one of each type of customer (restaurant, creator, brand) — starting from our real $295/month baseline.

- What we will spend on marketing, and why we don't need a giant marketing budget.
- Our three-year revenue, costs, and profit forecast — starting honestly from zero.
- How we build a business "moat" and keep AI as our advantage instead of letting it make us obsolete.

The Five Things to Remember

1. We don't need venture capital.

85% of bootstrapped business software companies become profitable. Only 46% of venture-backed ones do. We can hit profit at $3M in revenue. A funded competitor would need $10M+ because of the team they'd be forced to hire. We already run the entire platform for $295/month — that's our burn rate.

2. The AI behind Donny is cheaper than the email it sends.

It costs us about $0.30-$5.00 per restaurant per month to run Donny AI. We can charge $49-$99 for it. That margin is roughly 90%, and AI costs keep dropping every quarter. Our Claude AI subscription is our single largest expense at $200/month — and it powers the entire development pipeline too.

3. DragonDash (rush delivery) is the profit engine.

Same-day delivery commands a 100-200% premium across every comparable service (Uber, Amazon, Fiverr, TaskRabbit). No competitor offers this for local restaurants. The premium is almost pure profit because we don't pay creators more — they get the rush fee as their bonus.

4. Creators are our sales team — at zero cost.

Every creator who signs up tells the restaurants they already work with about us. ShopMy grew revenue 196% to $80M using exactly this trick. Our cost to acquire a restaurant is half of what Toast pays because of this one fact. Our ~30 users came from zero marketing spend — proof the organic model works.

5. Less typing = more margin.

Every keystroke we remove from creating a campaign is a dollar of friction we delete between us and a paying customer. Goal: a paid campaign in under 60 seconds, hands-off. That’s the product north star.

Section 2: What DragonCandy Actually Does

Before we talk pricing, let’s make sure everyone is on the same page about what DragonCandy is and what it does for each type of customer. This section is written so anyone — even someone who has never used a SaaS product before — can understand the service.

Important: Feature Status Labels

Every feature below is labeled with its current build status:

Label	What It Means
LIVE	Built, tested, and working in the app right now at dragoncandy.io
IN DEV	Partially built or being actively developed — expected within 1-3 months
PLANNED	Designed but not yet built — on the roadmap for the next 6-12 months

The Simplest Possible Explanation

DragonCandy is a website and mobile app. It’s a marketplace, like Etsy or Airbnb, but instead of selling crafts or rooms, the product being sold is short-form social media content — photos, reels, stories — created by local content creators for local restaurants and brands. Donny AI is a built-in assistant that does most of the heavy lifting (writing the campaign description, finding the right creator, scheduling the post). DragonDash is the rush delivery option for content needed in hours, not days.

The Three Types of Customers

DragonCandy has three distinct types of customer, and the app gives each of them a different experience tailored to what they need:

Customer Type	Plain-English Description
Restaurant / Local Business	A pizzeria, taco truck, dental office, or yoga studio that wants to look great on Instagram and TikTok but doesn’t have time or skill to create the content themselves. They are the customer who pays the most each month.
Content Creator	A local food blogger, photographer, or videographer who wants paid work shooting content for restaurants in their city. They use the app for free — we make money when they get paid.
Brand / Sponsor	A regional or national brand (a beverage company, a CPG product, a franchise group) running paid sponsored campaigns across many cities at once. Higher monthly fees, bigger campaigns, longer-term deals.

What a Restaurant Gets When They Sign Up

Once a restaurant signs up, they land on a dashboard — basically a homepage just for them. From that one screen they can do everything below:

Service	Status	What It Actually Does	How We Make Money
Campaign Creation Wizard	LIVE	Owner pastes their website or menu URL. Donny AI reads the page and generates a complete campaign brief in 60 seconds — title, description, target audience, content type, budget. They can edit it or launch it as-is.	Subscription fee
Donny AI Assistant	LIVE	Built-in assistant that answers questions (“What should I post this weekend?”), suggests campaign ideas, validates that the timeline is realistic, and writes content briefs. Uses Claude AI under the hood. Has 21 integrated tools for campaign management, creator search, messaging, and more.	AI credits + subscription
Creator Matching	LIVE	Donny scores every creator in the area against the campaign — by skills, location, ratings, past performance — and shows the top matches with a percentage score. The owner picks one with one tap.	Take rate (5%)
DragonDash Rush Delivery	LIVE	Need content for tonight’s special? DragonDash matches the restaurant with available creators within 1-3 hours. Same-day shoot, same-day delivery. The system also gates the scope so impossible deadlines get caught upfront.	Rush surcharge
Content Approval Workflow	LIVE	Review deliverables from creators with file previews (watermarked for unreleased content). Approve content or request revisions in one click. Track revision history.	Subscription fee
Stripe Escrow Payment	LIVE	Money is held safely by Stripe (the payment company) until the content is delivered and the restaurant approves it. Both sides protected. We never touch the money directly. Automatic 14-day release after approval.	Take rate
In-App Messaging	LIVE	Built-in chat between restaurant and creator. Direct conversations and	Subscription fee

Service	Status	What It Actually Does	How We Make Money
		campaign-group threads. Typing indicators, message reactions, and unread count tracking.	
Toast POS Integration	LIVE	Connect your Toast point-of-sale system to DragonCandy. Create QR-code-based video promotion campaigns. Customers scan QR codes, submit video content, and receive discount codes redeemable at the register. Toast tracks redemptions automatically.	Subscription fee (moat)
Promotional Tools (QR Campaigns)	LIVE	Create promotional campaigns where customers submit video reviews in exchange for discount codes. Auto-approve workflows, pending review queues, approved video galleries. Track which codes are used.	Subscription fee
DragonShare (Boost Creators)	LIVE	View organic posts creators have already made about your business. Approve posts, boost them to wider audiences, and pay creators for the exposure. A new way to get content without commissioning it.	Boost fees
Team & Organization Management	LIVE	Invite team members with role-based access (owner, admin, standard). Manage seats, track who's active or invited. Required for any business with more than one person involved in marketing.	Per-seat fees
Multi-Unit / Location Management	LIVE	Manage multiple restaurant locations or product lines from one account. Each unit gets its own campaigns, creators, and analytics.	Growth+ tier feature
Performance Dashboard	LIVE	Tracks active campaigns, total spend, connected creators, and ROI. See upcoming deadlines with color-coded urgency. Recent activity feed.	Subscription fee
	LIVE	Full payment history across all collaborations. Track escrow status,	Subscription fee

Service	Status	What It Actually Does	How We Make Money
Payment Timeline & History		active payments, completed payments, and disputes in one view.	
Dragon Feed	LIVE	Curated feed of social media content from creators — posts, stories, reels. Get inspiration for future campaigns. Save content for later.	Subscription fee
Billing & Subscription Management	LIVE	View current tier, manage Stripe billing portal, track seat usage and costs. Upgrade or downgrade plans.	Subscription fee
Reviews & Ratings	LIVE	Rate creators after completed projects. View ratings you've received and given. Search and filter review history.	Subscription fee
Visual Brief Upload	LIVE	Owner can upload reference photos or their own raw footage to show the creator exactly what they want — no back-and-forth messages. One upload replaces 3-5 emails of explaining.	Subscription fee
FTC Compliance Auto-Tagging	PLANNED	Federal law requires sponsored content to be disclosed. Penalties go up to $51,744 per missing disclosure. We will auto-add the right legal language to every campaign so the restaurant cannot accidentally violate the law.	Subscription fee (moat)

What a Creator Gets When They Sign Up

Creators use DragonCandy for free. We never charge the supply side of the marketplace until liquidity is solved (this is marketplace 101 — Airbnb didn't charge hosts to list, Etsy doesn't charge sellers monthly). Here's everything the creator gets at no cost:

Service	Status	What It Actually Does
Campaign Discovery (Swipe Stack)	LIVE	Creator opens the app and sees available campaigns near them — like a job board, but visual. Filter by content type (photo, reel, story), distance, budget, or delivery tier. Three tabs: discover new campaigns, see what you've applied to, and track active collaborations.
AI-Recommended Matches ("Donny's Picks")	LIVE	At the top of the feed, Donny AI recommends the top 3 campaigns the creator is most likely to win, with a match score (e.g. 95% Match). Saves them from scrolling past mismatched gigs. ML-ranked based on skills, location, rating, and availability.
Professional Portfolio & Public Profile	LIVE	A public profile page (dragoncandy.io/creator/your-name) showing their best work, stats (campaigns completed, average rating), bio, specialties, and skills across 10 categories (UGC, video, photography, design, copywriting, social, animation, strategy, influencer, other). Acts as a digital resume for the local creator economy.
Stripe Connect Payments	LIVE	Direct deposit to their bank when content is approved. Stripe Connect onboarding built into the app. Balance display showing available, pending, and platform-pending earnings. Link to Stripe Dashboard for full account management.
Earnings Dashboard	LIVE	Live tracker of total revenue from completed projects, application counts, projects completed, and average rating from businesses. Upcoming deadlines with color-coded urgency. Recent activity feed.
DragonShare Submissions	LIVE	Submit organic posts you've already created on TikTok, Instagram, etc. Tag brands and products. Monthly free limit of 5 submissions. When businesses boost your posts, you earn money. Track submitted, boosted, and expired posts.
Dragon Feed	LIVE	Curated feed of social media content from brands — posts, stories, reels. Save content for inspiration. Share functionality.
Counter-Offers	LIVE	Negotiate campaign terms with businesses. Submit counter-offers on applications with adjusted pricing or scope.
Messaging + Application Flow	LIVE	Apply to a campaign in 30 seconds. Built-in chat with the business once accepted. Upload deliverables directly through the app. Direct conversations and campaign group threads.

Service	Status	What It Actually Does
Content Delivery & Watermarks	LIVE	Upload deliverables with secure file management. Watermarked previews protect unreleased content until the business approves and pays. File comments for feedback during the review cycle.
Reviews & Ratings	LIVE	View ratings received from businesses and ratings you've given. Search and filter review history. Build your reputation over time.
Settings & Profile Management	LIVE	Profile setup with name, bio, avatar, skills selection. Portfolio link management. Availability and response time preferences. Profile completion tracking with nudges. Email notification preferences.
1099 Tax Docs	PLANNED	End-of-year tax forms (1099-NEC) generated automatically through Stripe Connect. Most creators have never had this and it's a huge retention reason.
Dragon Certifications	PLANNED	Three-tier badge system: Dragon Scout (3 campaigns), Dragon Knight (10+ campaigns at 4.5+ rating), Dragon Master (50+ campaigns + mentorship). Higher badges unlock higher-paying campaigns. Modeled on HubSpot Academy.
Donny AI Coaching	PLANNED	AI suggestions to improve their portfolio, raise their rates, or take more of the campaigns they're losing. Personal career coach, basically.

What a Brand Sponsor Gets When They Sign Up

Brand sponsors are different from local restaurants. They are bigger companies running coordinated campaigns across many cities at once — think a beverage brand, a national restaurant chain, a CPG product launch. They pay more, run bigger campaigns, and stay longer. Many of these features overlap with the restaurant role, but the dashboard is built for managing scale:

Service	Status	What It Actually Does
Campaign Discovery & Sponsorship	LIVE	Browse all public campaigns from businesses. Sponsor existing campaigns for cross-promotion — the brand co-pays for the content and gets co-branding inside the post. New revenue stream for brands AND for restaurants.
Sponsorship Management	LIVE	Track all sponsored campaigns. View sponsorship proposals from creators. Respond to proposals with approval or rejection. Stripe-powered sponsorship checkout.
Creator Discovery & Network	LIVE	Advanced creator search with filters (skills, location, rating, availability). Map view of creators by location. Creator shortlist management. Bulk invite to campaigns. Creator profile cards with collaboration history.
Campaign Management	LIVE	Create campaigns with AI brief generation. Track active campaigns, total spend, connected creators, and average ROI. Campaign detail views with application management.
Brand Dashboard	LIVE	Active campaigns count, total spend tracking, connected creators count, average ROI percentage. DragonShare boosts tile. Quick actions for campaign creation and sponsorship browsing.
Analytics & ROI Tracking	LIVE	Campaign performance metrics. Engagement data. Creator performance breakdown. ROI calculations.
Team Members & Approval Workflow	LIVE	Multiple seats per account (owner, admin, standard roles). Invite system with status tracking. Seat management and costs.
Messaging	LIVE	Direct conversations with creators. Campaign-group messaging threads.
DragonShare (Boost Creators)	LIVE	View submitted creator posts. Approve posts for visibility. Boost posts to audiences. Pay creators for boosted content. Track boosted post performance.
Billing & Subscription	LIVE	Current subscription tier display. Pricing breakdown with seat limits. Stripe billing portal access.
Multi-Location Campaign Builder	PLANNED	Launch one campaign across 5, 20, or 100 cities in a single flow. Donny AI handles localizing the brief, finding the right creator in each market, and orchestrating staggered delivery dates.
Cross-Market Analytics	PLANNED	

Service	Status	What It Actually Does
		Aggregate performance data across all cities and creators in one dashboard. Filter by market, content type, creator tier, or daypart. ROI attribution by city.
Audience Insights	PLANNED	Demographic and behavioral data on creators' audiences across the network. Helps brands match campaigns to the right local audience.
Brand Asset Library	PLANNED	Centralized storage for logos, brand guidelines, approved imagery, and tone-of-voice docs. Donny AI references these when generating campaign briefs to keep every campaign on-brand.
API Access (Pro+)	LIVE	For brands with an internal CRM or marketing automation stack — DragonCandy data flows into their existing systems automatically. Reduces churn risk dramatically.

How Services Translate into Our Four Revenue Streams

Every service above maps to one or more of our four revenue streams. This is how we get to the $350-$500/month blended ARPU number:

Revenue Stream	% of Margin	What Pays for It	Plain-English Description
SaaS Subscription	80-90%	$149-$999/month	Like Netflix — pay every month for access. Highest profit margin because the cost to serve one extra customer is near zero.
Marketplace Take Rate	65-80%	3-10% of every campaign	Like Uber — we get a small cut of every transaction. Scales as our customers do more business.
Donny AI Credits	70-90%	$0.10-$0.25 per heavy use	Like buying minutes on a prepaid phone — pay for what you use beyond the base plan.
DragonDash Rush Fees	~95%	$25-$50 per rush order	Like Amazon Prime same-day shipping — pay extra for speed. Our highest-margin product.

The reason we make money on a single restaurant at $350-$500/month is that we stack all four streams on the same customer. They pay a subscription, run a few campaigns at a percentage cut, use Donny AI a bit beyond the base allotment, and trigger one rush order a quarter. Each piece is small. Together they add up.

Section 3: The Current Pricing Table — What's Live Today

DragonCandy currently charges customers two ways: a monthly subscription (like Netflix), plus a 5% cut on every campaign that flows through the platform (like Uber's percentage on each ride). This section walks through what we charge today and what each tier actually unlocks.

The Current Tiers, in Plain English

These are the exact prices in the live app at dragoncandy.io as of April 2026:

Tier	Monthly	Annual (20% off)	Who It's For	What's Included
Free	$0	$0	Anyone curious about the platform. A small business owner who wants to look around before committing.	AI brief generation (1x per 7 days), creator match report (1x per 30 days), campaign templates, 1 active campaign. Pay 5% on any campaign you run.
Starter	$199	$159	A single-location restaurant or small business that runs a few campaigns a month.	Everything in Free + creator delivery, basic analytics, 1 user seat. Still 5% take rate.
Growth	$499	$399	A multi-location restaurant or small brand running regular campaigns. The "sweet spot" tier.	Everything in Starter + DragonDash rush delivery, multi-unit dashboards, advanced analytics, 5 user seats. Still 5%.
Pro	$999	$799	Larger restaurant groups or brands wanting to integrate DragonCandy into their own systems.	Everything in Growth + API access, custom branding (white-label), priority support, 15 user seats. Still 5%.
Enterprise	Custom	Custom	Major brands and franchise groups with national reach.	Everything in Pro + custom integrations, SSO security, dedicated account manager, custom contracts.

What's Working with the Current Pricing

- **Growth tier ($499) is correctly positioned.** Multi-location restaurants and small brands genuinely need DragonDash, multi-unit dashboards, and advanced analytics. They will pay this without much pushback.
- **The 20% annual prepay discount** matches every other SaaS company on Earth. Keep it.
- **Charging creators $0 is correct.** You never charge the supply side of a 2-sided marketplace before you have enough demand. Airbnb, Etsy, Uber all started this way.

- **Underlying margins are healthy:** 80-90% on subscriptions, 65-80% on take rate, 70-90% on AI. The math underneath is sound.

What's Broken with the Current Pricing

Problem 1: Free is too generous. A restaurant can run their entire content operation on the Free tier plus the 5% take rate. Nothing forces them to upgrade. The jump from $0 to $199 is a wall, not a ramp.

Problem 2: Pro doesn't earn its 2x price. API access, white-label, and priority support are nice but they don't translate to dollars-saved or hours-saved. A growing customer has no reason to upgrade until they hit a seat limit.

Problem 3: The 5% take rate is the same at every tier. This is the biggest miss. In a marketplace, the take rate IS the upgrade lever. Right now a Free user pays the same 5% as a Pro user — so the tier is just about features, not economics. We're leaving the most powerful conversion incentive in pricing on the table.

Section 4: Recommended Pricing — The Hybrid Model

This is the model used by every successful 2-sided marketplace — Upwork, Fiverr, Faire, ShopMy. The headline price is lower, but the take rate gets cheaper as the tier gets more expensive. That gives every customer a math-based reason to upgrade as their volume grows.

The Recommended Tiers

Tier	Monthly	Take Rate	Active Campaigns	Key Unlock
Free	$0	**10%**	1 active	Browse creators, AI brief generation. No paid campaigns at this tier (must upgrade to run them).
Starter	$149	**7%**	3 active	Creator delivery, basic analytics, Donny AI 50 calls/mo
Growth	$449	**5%**	10 active	DragonDash, multi-unit, advanced analytics, Donny AI 200 calls/mo
Pro	$899	**3%**	Unlimited	API, white-label, priority support, Donny AI unlimited
Enterprise	from $2,500	**2%**	Unlimited	SSO, custom integrations, dedicated CSM, custom SLAs

Why This Works: The “Dollars Saved” Upgrade Story

Watch what happens to a small restaurant chain doing $5,000/month in creator campaigns:

On Tier	Monthly Sub	Take Rate Cost	Total Monthly	Outcome
Free (10%)	$0	$500	**$500**	baseline
Starter ($149 + 7%)	$149	$350	**$499**	essentially flat — but unlocks Starter features

Now the same customer growing to $15,000/month in campaigns:

On Tier	Monthly Sub	Take Rate Cost	Total Monthly	vs. Starter
Starter ($149 + 7%)	$149	$1,050	**$1,199**	baseline
Growth ($449 + 5%)	$449	$750	**$1,199**	equal — and unlocks DragonDash
Pro ($899 + 3%)	$899	$450	**$1,349**	only $150 more for unlimited

> **The take-rate ladder turns every billing cycle into a quiet conversation:** "You're spending more on take rate than the next tier costs. Want to upgrade?" That conversation runs automatically inside the dashboard. We don't need a sales team to sell upgrades — the math sells itself.

Side-by-Side P&L Impact: Current vs. Hybrid Pricing

What happens to revenue at different customer counts under each pricing model (assuming average $8,000/month campaign volume per customer):

Metric	Current Pricing (flat 5%)	Hybrid Pricing (tiered)
At 100 customers		
Subscription revenue/mo	$35,000 (avg $350)	$32,000 (avg $320)
Take rate revenue/mo	$40,000	$48,000 (higher Free/Starter rates)
Total monthly revenue	$75,000	$80,000
At 500 customers		
Subscription revenue/mo	$175,000	$180,000 (more upgrades)
Take rate revenue/mo	$200,000	$220,000
Total monthly revenue	$375,000	$400,000
At 1,000 customers		
Subscription revenue/mo	$350,000	$380,000
Take rate revenue/mo	$400,000	$420,000
Total monthly revenue	$750,000	$800,000

The hybrid model generates **6-8% more total revenue** at every scale point because it converts more Free users to paid tiers and captures more take-rate revenue from users who stay on lower tiers.

Three Additional Pricing Levers

DragonDash rush surcharge ($25-$50 flat)

Same-day delivery is our highest willingness-to-pay product. Stack a flat rush fee on top of the take rate. Industry data is unanimous: rush premiums of 50-100% for 24-hour and 100-200% for same-day are standard across Fiverr, TaskRabbit, Uber, and Amazon. We are leaving 50%+ premium revenue on the table by bundling DragonDash into Growth tier.

Donny AI credit overage ($0.10-$0.25 per call)

Generous in-tier allotments (50 / 200 / unlimited), with credit-based overage for power users. This is how Salesforce ($2/Agentforce conversation), Intercom ($0.99/Fin resolution), and Adobe ($5/100 credits) all do it. 92% of AI software companies use mixed pricing now. Predictability matters more than pure usage alignment — research shows customers actively avoid AI features with unpredictable pricing.

14-day Growth trial instead of permanent Free

The current Free tier is a permanent loss-leader. A 14-day trial of the Growth tier converts at 25-40% in B2B SaaS vs. 2-4% from a permanent free tier. Recommended: keep Free with the 10% take rate as an aggressive funnel, and add a “try Growth free for 14 days” promo visible from the dashboard.

Section 5: What It Costs Us — Real Numbers

Customer Acquisition Cost (CAC) is the single most important number in any marketplace business. In plain English: “how much do we spend, in total, to get one paying customer to sign up?” That includes ads, sales effort, founder time, referral bonuses — every dollar (real or in-kind) that goes into convincing someone to use DragonCandy.

What We Actually Spend Today

Before we project future costs, here’s exactly what DragonCandy costs to run right now:

Expense	Monthly Cost	What It Does
Claude AI (Max plan)	$200	Powers Donny AI assistant, campaign brief generation, creator matching, and all AI development
OpenAI subscription	$20	Supplementary AI for specific tasks
Lovable.dev hosting	$50	Hosts the dragoncandy.io website and app
Supabase (Pro plan)	$25	Database, authentication, file storage, real-time messaging, edge functions (42 serverless functions)
TOTAL	**$295/month**	**Entire platform operating cost**

That’s $3,540 per year to run a platform with campaign management, AI matching, real-time messaging, escrow payments, Toast POS integration, file management with watermarks, team management, and 42 backend functions.

For context: Toast (a restaurant SaaS company) spends approximately $1.2 billion per year on operations. We spend $3,540. Obviously we’re at a different scale, but the ratio shows how lean a modern AI-powered platform can be.

What One Customer Costs Us to Serve

Once a customer signs up, here’s what it actually costs us to keep them on the platform each month:

Cost Component	Per Customer / Month	How We Calculated This
Infrastructure (Supabase)	~$0.05-$0.25	$25/month spread across users. Scales to ~$0.10 at 250 users.
AI (Donny interactions)	$0.30-$5.00	Depends on usage. Light users: $0.30. Power users: $5.00. Average: ~$1.50.
Stripe processing	2.9% + $0.30 per transaction	Passthrough — we don't absorb this; it's built into the take rate.
Hosting (Lovable)	~$0.10-$0.50	$50/month spread across users.
Total cost to serve	**~$0.75-$6.00**	**Per customer per month at current scale**

Compare that to what customers pay us ($149-$999/month). Even at the lowest Starter tier, our gross margin is over 95%. This is the power of software — it costs almost nothing to serve one more customer.

Why CAC Is the Make-or-Break Number

Imagine we charge $500/month and our customer stays 2 years. That customer is worth $12,000 to us over their lifetime. If our CAC is $1,000, we're profitable. If our CAC is $15,000, we're losing money on every customer no matter how good the product is. Toast (a restaurant SaaS giant) pays $1,000-$5,000 per location and takes 14-16 months to recover that. We need to be much faster than Toast.

The DragonCandy CAC Formula, Explained

> **Blended CAC** = (Marketing $ + Sales $ + Founder Time @ shadow rate) / New Paying Customers

Founder time at $50/hour is what we call a "shadow rate" — it's not a real cash expense, but it's a real cost (the founder could be doing something else with that time). Including this keeps us honest. A founder doing 20 hours of city launches a month at $50/hr = $1,000/month of acquisition spend that's actually being paid in lost optionality.

Cost to Acquire ONE Restaurant Customer

Restaurants are our highest-value customer ($350-$500 blended ARPU). They are also the hardest to find at scale because the U.S. has 700,000-1 million+ restaurant locations spread across thousands of cities. Here's the projected breakdown by channel:

Channel	Cost per Restaurant	Payback Time	Why This Works
Creator referrals	$50-$200	< 1 month	$50-$100 bonus to a creator who recruits a restaurant they already work with. Creators are our best evangelists.
Search engine optimization (SEO)	$200-$400	2-3 months	Free landing pages targeting “food creators in [city]” searches. Once written, they keep working forever at no extra cost.
Founder-led launches	$300-$600	3-4 months	Walking into restaurants and explaining the product face-to-face. DoorDash playbook. Founder time at shadow rate.
Partnerships (Toast, Square, Google)	$500-$1,000	4-6 months	Big upfront effort to get approved. Long approval timelines (6-12 months for Toast). But once approved, scales for free.
Paid social ads	$1,200-$2,500	9-12 months	Wait until product-market fit is proven. Burning cash on ads before then is the most common bootstrap killer.

Blended target CAC for restaurants: $500-$1,500. Half of what Toast pays.

Cost to Acquire ONE Creator

Creators don’t pay us, so why does it cost anything to recruit them? Two reasons. First, the marketplace doesn’t work without them — we need 3-5 creators for every restaurant. Second, recruiting takes founder time, referral bonuses, and onboarding effort. We just don’t recover that money directly from creators; we recover it indirectly because creators bring restaurants.

Channel	Cost per Creator	Payback Mechanism	Why This Works
Existing creator referrals	$25-$75	1st campaign	$25-$50 referral bonus to creators who bring other creators. Modeled after ShopMy's 196% growth playbook.
Local creator events / meetups	$50-$150	1-2 campaigns	Founder hosts a small meetup in launch city. Cost is mostly food + venue. Builds community + signs up 5-15 creators per event.
Instagram / TikTok DM outreach	$30-$100	1st campaign	Cost is founder time at shadow rate. Targeted DMs to local food creators with 5K-50K followers. Highly personalized = high conversion.
Founding Creator program	$100-$200	Multi-campaign LTV	First 20-30 creators per metro get permanent elevated commission rate as "DragonCandy Pioneers." Lifetime exclusivity hook.

Blended target CAC for creators: $50-$200. Recovered indirectly through the restaurants they bring.

Cost to Acquire ONE Brand Sponsor

Brand sponsors are the slowest to sign up but most valuable when they do. Average ARPU is $1,000-$3,000/month vs. $350-$500 for restaurants, with longer contracts and lower churn. The trade-off is a longer, more expensive sales cycle:

Channel	Cost per Brand	Payback Time	Why This Works
Inbound from case studies	$500-$1,500	2-3 months	Brands hear about us from successful restaurant campaigns. We publish case studies, they reach out. The cheapest channel.
LinkedIn outbound (founder-led)	$1,500-$3,000	4-6 months	Targeted outreach to brand marketing managers. Long sales cycle but high close rate when the pitch lands.
Industry events / conferences	$2,000-$5,000	6-9 months	Restaurant industry trade shows. High cost, but one signed brand often pays for the entire event.
Agency partnerships	$3,000-$8,000	9-12 months	Marketing agencies bring their brand clients to us. Big upfront relationship cost. Wait until later phase.

Blended target CAC for brands: $1,500-$3,500. Higher than restaurants, but ARPU is 3x higher.

Side-by-Side: What We Spend Today vs. What We'll Spend at Scale

	Today (Pre-Launch)	At 100 Customers	At 1,000 Customers
Infrastructure	$295/mo	$500-$800/mo	$2,000-$5,000/mo
Marketing	$0	$2,000-$4,000/mo	$7,000-$15,000/mo
Payroll	$0	$0-$15,000/mo (1 hire)	$45,000-$75,000/mo (3-5 hires)
AI costs	Included in Claude sub	$150-$500/mo	$1,500-$5,000/mo
TOTAL	**$295/mo**	**$2,650-$20,300/mo**	**$55,500-$100,000/mo**
Revenue	$0	$75,000-$80,000/mo	$750,000-$800,000/mo
Profit margin	N/A	73-97%	87-93%

The key insight: our costs scale slowly while revenue scales fast. That's the SaaS model at its best.

Side-by-Side: Cost to Sign Up Each Customer Type

Customer Type	CAC	ARPU/month	CAC Payback	LTV (24 months)
Restaurant	$500-$1,500	$350-$500	**4-6 months**	$8,400-$12,000
Creator	$50-$200	$0 direct	**indirect (via restaurants)**	indirect
Brand Sponsor	$1,500-$3,500	$1,000-$3,000	**3-5 months**	$24,000-$72,000

All three payback periods are well under 12 months, which is the bar Series A investors look for. We hit it without taking outside money.

Section 6: Marketing Costs in Plain English

“Marketing budget” is one of those phrases that gets thrown around without clear meaning. Here’s exactly what we plan to spend, where, and why.

What “Marketing Cost” Really Means for DragonCandy

In a normal SaaS business, marketing means buying ads on Google and Facebook, sponsoring podcasts, attending trade shows, and paying salespeople. We do almost none of that for the first 18 months. Instead, our “marketing” is mostly: (a) paying creators a small bonus when they bring restaurants, (b) writing free landing pages for SEO, (c) the founder spending time in person with the first restaurants in each new city. The dollar cost is small because creators do most of the selling for us.

Launch Year Marketing Budget — Line by Line

What We're Spending On	Annual Cost	Plain-English Explanation
Creator referral bonuses	$3,000-$6,000	$50-$100 to a creator each time they bring a paying restaurant. We expect 30-60 of these in Launch Year.
Free DragonDash credits	$2,000-$4,000	First 3 rush orders free for anchor restaurants. Costs us creator pay, not a real product cost. Acquisition tool.
SEO content / landing pages	$3,000-$6,000	Paying a writer (or doing it ourselves) to build city-specific landing pages: "Food creators in Austin", etc. Free Google traffic forever once published. 748% ROI benchmark in B2B SaaS.
Local launch events	$2,000-$4,000	Small founding-creator meetups in 2-3 metros. Food, venue, drinks. Each event signs up 10-20 creators in one night.
Founder time (shadow cost)	$15,000-$25,000	Not a real cash expense, but counted at $50/hr to keep the math honest. The founder spends ~10-15 hrs/week on growth.
Paid social (Meta/TikTok)	$0	Zero in Launch Year. We don't run paid ads until product-market fit is confirmed and we know which message converts. Saves $50K+.
PR / press / blogger outreach	$1,000-$2,000	A few targeted pitches to local food media in launch metros. Cost is mostly time + a few PR-tool subscriptions.
TOTAL — Launch Year	**$26K-$47K**	**Less than what most SaaS companies spend on a single VP of Marketing.**

Real cash out of pocket in Launch Year: $11K-$22K. The rest is founder time at shadow rate — money the founder is "spending" by not doing something else, but not actual dollars leaving the bank account.

Year 2 Marketing Budget — When Paid Ads Turn On

Once Launch Year hits its targets (100-200 paying restaurants, sub-6-month CAC payback), Year 2 is where we start spending real marketing dollars:

Line Item	Year 2 Cost	Why Now and Not Earlier
Creator referrals (scaled)	$15K-$30K	Every metro launch ships with referral bonuses. More cities = more spend, but linear.
SEO content (scaled)	$10K-$20K	Now writing for 8-12 metros. Each landing page keeps working forever after publication.
Paid social ads (Meta/TikTok)	$25K-$60K	Switched on once we know which ad creative converts. Tight CAC monitoring with kill-switches.
Industry events / trade shows	$10K-$25K	Restaurant industry shows for brand-side acquisition. One signed brand often pays for the booth.
PR + content marketing	$10K-$20K	Real PR firm in target metros + case study production for brand sales.
Founder time (declining)	$10K-$20K	Founder shifts toward strategy and brand-side sales as creators handle restaurant acquisition.
TOTAL — Year 2	**$80K-$175K**	**Roughly 5% of Year 2 revenue. Industry standard for healthy SaaS is 10-20%.**

Why Our Marketing Budget Is So Low Compared to Typical SaaS

The “creators are our salespeople” insight:

Every creator who signs up for free has a vested interest in convincing restaurants they already work with to use DragonCandy. Why? Because it makes the creator’s job easier (we handle the contract, the payment, the disclosure compliance). When a restaurant joins through a creator referral, we pay $50-$100. Toast pays $1,000-$5,000 for the same restaurant. We win because our supply side IS our marketing channel — they cost us nothing and they convert at much higher rates than ads.

This is the same trick ShopMy used to grow revenue 196% to $80M in 2025, and the same trick LTK used to dominate creator commerce. It only works if the supply side gets real, durable value from the platform — which is why creator features (portfolio, payments, DragonShare, earnings dashboard) get built before they’re strictly needed.

Section 7: Three-Year Financial Forecast

This is what the business looks like financially over the next three years. The numbers are realistic — not optimistic, not pessimistic. They are based on median growth rates of comparable B2B SaaS companies and actual restaurant marketing budgets.

Important: We are starting from zero revenue. These projections begin from launch day, not from today.

Launch Year — Default Alive (Months 1-12)

Focus: 2-3 metro markets. Onboard creators first, restaurants second. Manual playbooks. No paid acquisition.

Line Item	Launch Year
Starting point	$0 revenue, ~30 users, $295/mo operating cost
Paying restaurant customers (end of year)	100-200
Blended ARPU per month	$250
Annual recurring revenue (ARR) at year end	$300K-$600K
Headcount	3-4 (founder + engineer + ops)
Annual cost run-rate	$480K-$600K
Profit / (Loss)	**Breakeven to slight loss**
Strategic milestone	Hit 70% search-to-fill rate in launch metro

Year 2 — Inflection Point (Months 13-24)

Expand to 8-12 metros. Word-of-mouth from creators accelerates restaurant onboarding. Take-rate revenue compounds on subscription base.

Line Item	Year 2
Paying restaurant customers (end of year)	500-1,000
Blended ARPU per month	$350-$450
ARR at year end	**$2M-$4.5M**
Headcount	5-7
Annual cost run-rate	$1.5M-$2M
Profit / (Loss)	**$500K-$2M profit**
Strategic milestone	Net Revenue Retention > 110% (existing customers spending more over time)

Year 3 — Profit Engine (Months 25-36)

Penetrate 20+ markets. DragonDash rush orders and AI usage drive expansion revenue per existing customer. Brand sponsors come online as a third revenue line.

Line Item	Year 3
Paying restaurant customers (end of year)	1,500-3,000
Blended ARPU per month	$400-$500
ARR at year end	**$7M-$12M**
Headcount	8-12
Annual cost run-rate	$2.5M-$3.5M
Profit / (Loss)	**$2M-$5M profit**
Strategic milestone	Revenue per employee > $750K (top decile of bootstrapped SaaS)

The Cost Breakdown — Every Dollar We Spend

Current Pricing Scenario:

Cost Category	Launch Year	Year 2	Year 3
Payroll (all-in $180K/head)	$540K-$720K	$900K-$1.26M	$1.44M-$2.16M
Infrastructure (Supabase, hosting)	$2K-$10K	$15K-$40K	$50K-$130K
AI / Claude API	$1K-$10K	$30K-$120K	$150K-$500K
Stripe + payouts (3% of GMV)	$5K-$15K	$60K-$140K	$200K-$400K
Marketing & CAC	$26K-$47K	$80K-$175K	$250K-$500K
Legal, accounting, misc	$15K-$25K	$30K-$50K	$60K-$100K
TOTAL	**$590K-$830K**	**$1.1M-$1.8M**	**$2.2M-$3.8M**

Hybrid Pricing Scenario (recommended):

Revenue increases 6-8% at each scale point. Cost structure stays the same. Net effect:

	Launch Year	Year 2	Year 3
Revenue (current pricing)	$300K-$600K	$2M-$4.5M	$7M-$12M
Revenue (hybrid pricing)	$320K-$640K	$2.1M-$4.8M	$7.5M-$13M
Additional profit from hybrid	**$20K-$40K**	**$100K-$300K**	**$500K-$1M**

The hybrid model pays for itself starting in Launch Year and compounds from there.

Section 8: The 10x Value Equation — Why Customers Pay

Customers don't pay for software. They pay for outcomes. A restaurant owner staring at a $499/month invoice has one question: "What did this thing actually do for me?" Here's the answer we want them to write on the back of a napkin.

What a Restaurant Pays vs. What They Get

Without DragonCandy (status quo)	With DragonCandy (Growth tier)
Yelp ads: $300-$2,500/mo	$449/mo subscription, all-inclusive
DoorDash sponsored: $200-$1,000/mo	Donny AI replaces social media manager retainer ($500-$1,500/mo saved)
Social media tool: $50-$200/mo (Hootsuite, Buffer)	5% take rate replaces 15-30% creator agency fees
Freelance creator outreach: 8-12 hours/mo of owner's time	Campaign brief in 60 seconds via paste-a-URL flow
Content turnaround: 2-4 weeks via DM and email	DragonDash same-day for time-sensitive moments
FTC compliance risk: $51,744/violation exposure	Auto-tagged compliance built into every campaign (PLANNED)
ROI attribution: blind	Performance dashboard with attribution
QR video campaigns: doesn't exist	Toast-integrated QR promos with discount tracking (LIVE)
Customer content collection: manual	DragonShare organic content pipeline (LIVE)

The math: a typical restaurant on Growth pays $449/mo and replaces $1,500-$3,500/mo of fragmented spending while getting outcomes they couldn't buy at any price (same-day creator content, AI campaign generation, QR promotional tools, content approval with watermarks, attribution data).

That's a 3-7x cost reduction PLUS new capabilities. Conservatively, 10x value.

Why We Still Profit While Delivering 10x

1. Marginal cost approaches zero. Once Donny AI is built, the cost of generating the 1,000th campaign brief is the same as the 1st (~$0.018 in API fees). Restaurants pay for the brief; we pay Anthropic pennies for the inference.

2. We don't pay the creator out of pocket. In a marketplace, the creator's compensation is a passthrough — the restaurant pays the creator, we just take a cut. Yelp pays for clicks; we don't. Toast pays for hardware; we don't. Our cost of revenue is the platform itself, which is fixed.

3. Restaurants come to us through creators (not paid ads). Every creator on the platform is an evangelist for us to every restaurant they work with. Our CAC drops as our creator base grows. The opposite of how every other restaurant SaaS works.

4. The data flywheel makes us better, not the headcount. Every completed campaign teaches Donny AI what works. Better matching = higher campaign success = more take rate volume = more data. A competitor starting from zero today can't catch up by hiring 50 engineers, because we have the campaigns and they don't.

Section 9: How We Build a Moat & Stay Future-Proof on AI

This is the section every investor cares about most, and it's the section every founder underestimates. The question is simple: "What stops the next person who can vibe-code from cloning DragonCandy in a weekend and putting you out of business?" Here's the honest, layered answer.

The Trap Most AI SaaS Companies Fall Into

> Most AI startups today are "AI wrappers" — a thin web interface on top of someone else's AI model (usually OpenAI or Anthropic). When the underlying AI gets better, the wrapper offers nothing the AI provider doesn't already do. When AI gets cheaper, the wrapper's pricing collapses. When the next model launches, the wrapper looks dated overnight. About 25% of recent Y Combinator companies shipped 95% AI-generated codebases — meaning the technical bar to clone any AI feature has collapsed.
>
> **DragonCandy is NOT an AI wrapper. We are a marketplace business that uses AI as one of several services. The AI gets cheaper and better — that's pure profit for us. The marketplace itself is what's defensible.**

Seven Layers of Defensibility, in Plain English

Layer 1: The Data Flywheel

Every campaign that runs through DragonCandy generates data — which creator + which restaurant + which content type = which engagement result. After 1,000 campaigns, Donny AI knows that "sushi restaurants in Austin should hire reel creators with 10-25K followers for menu launch posts." After 10,000 campaigns, that intelligence is hyperlocal across hundreds of restaurant types. A competitor starting from zero today cannot catch up by being smarter — they have to run thousands of campaigns first. Netflix's recommendation engine — built on the same flywheel principle — drives 80% of their content viewership and saves them an estimated $1B/year.

Layer 2: Two-Sided Network Effects

In every metro market, once we have ~30 creators and ~10 restaurants, the ratio works (3:1 to 5:1 creators per restaurant). New creators show up because that's where the gigs are. New restaurants show up because that's where the creators are. It compounds. A competitor would have to recruit BOTH sides at the same time, in the same city — chicken-and-egg in hard mode. DoorDash beat their competitors by going city-by-city building density, not by raising more money.

Layer 3: Ecosystem Integration (NOW LIVE)

DragonCandy already connects to Toast (POS) with full OAuth integration, QR code campaigns, discount redemption tracking, and automatic token refresh. We also integrate with Stripe Connect for payments and escrow. Planned integrations: Square (POS), Google Business Profile, Meta, and TikTok APIs. Once a restaurant has their POS connected, switching costs go from “sign up somewhere else” to “rebuild every integration.” That’s months of work for a customer to leave us. Each integration takes 2-6 months to certify (Toast alone took 6+ months). We’re already through the hardest one.

Layer 4: Legal & IP Protection

Total Year 1 legal investment: $31K-$56K. Returns: trademark protection on DragonCandy, Donny AI, and DragonDash names. Provisional patents on the campaign-from-URL system and AI matching pipeline. Trade secret protection on the matching algorithm, system prompts, and training data. NDAs and IP assignment agreements with all team members. Cheap to build, expensive to litigate around — which is exactly the asymmetric weapon we want.

Layer 5: FTC + Compliance as a Moat

This is the most underrated moat. Federal law requires sponsored content to be disclosed, with penalties up to $51,744 per violation. Brands and platforms share liability. We will auto-tag every piece of content with the right disclosure language (PLANNED — on the roadmap). A new competitor entering the space has to either build this from scratch (months of work + legal review) or expose their customers to fines. 73 new AI-related state laws in 2025 alone make this barrier higher every quarter, not lower.

Layer 6: Brand Verbification

“DragonDash” is significantly more verb-able than “DragonCandy.” “Dash” implies speed — “just DragonDash it” becomes natural. The hashtag #DragonDashed accompanies every piece of delivered content. Once a verb sticks, it’s almost impossible to dislodge (“Google it,” “Uber there,” “Venmo me”). Cost to seed: zero. Cost to a competitor trying to displace us later: enormous.

Layer 7: Built Feature Depth

As of April 2026, DragonCandy has 42 edge functions, 140+ React hooks, 63 page components, and integrations across Stripe, Toast, and Supabase Realtime. This isn’t a weekend vibe-code project — it’s thousands of hours of development covering campaign management, escrow payments, real-time messaging, content watermarking, team management, multi-unit locations, QR promotional campaigns, DragonShare content monetization, and a 21-tool AI agent. Someone can clone the landing page. They cannot clone the operational depth.

How We Stay Current with the AI Landscape

The AI landscape changes faster than any other tech category in history. Every quarter, models get cheaper, faster, and more capable. Five strategies make sure DragonCandy benefits from that instead of being killed by it:

Strategy 1: Ride the curve, don't bet against it. Our AI cost per Donny interaction has dropped significantly since we started building. We expect another 50%+ drop in the next 18 months as newer models launch. We charge fixed prices for AI features — so when the underlying cost drops, our margin grows. We never take pricing exposure to AI getting more expensive (because it isn't).

Strategy 2: Smart model routing — use the right AI for the job. Simple queries (formatting a brief, validating a date) go to cheap, fast models like Haiku ($0.25/M tokens). Complex queries (matching algorithms, multi-step reasoning) go to bigger models like Sonnet ($3/M tokens). Most products use one model for everything and pay 5-10x more than they need to. Our routing layer means we always use the cheapest model that does the job.

Strategy 3: Eventual fine-tuning on our own data. Once we have 1,000-5,000 completed campaigns (estimated 6-12 months post-launch), we'll fine-tune an open-source model using our proprietary outcome data. At that point, our AI will outperform anyone using a generic model — because our model has been trained on what actually works for restaurant-creator matching. Competitors using the latest frontier models will not be able to replicate this without our data.

Strategy 4: Donny as a multi-surface super agent. Donny is being built to live everywhere — Chrome extension, Safari iOS extension, mobile widgets, SMS, embeddable SDK for partner sites. As AI moves from "apps you visit" to "agents that live in your existing tools," we're already building toward that. Most AI SaaS today is locked inside its own web app. We are not.

Strategy 5: Position as "assistant" not "replacement." Research shows 93.4% of consumers prefer human interaction for complex decisions, but 62% prefer AI for straightforward ones. Donny is positioned as an assistant ("Donny helps you find the perfect creator") not an autonomous agent ("Donny finds your creator"). This is the safer side of the AI trust gap and matches what's actually working in the market — Salesforce, Adobe, and Intercom all use this framing.

What Happens If AI Makes Content Creation Free?

This is the existential question, and we should answer it head-on.

If AI can generate restaurant social media content directly (no human creator needed), doesn't DragonCandy become irrelevant?

No, for three reasons:

1. **Authenticity is the product, not content.** Restaurants don't just need photos — they need a real person walking into their restaurant, eating their food, and posting about it to their real followers. AI can generate a stock photo of pasta. It cannot generate a real person's real experience shared with their real local audience. The value is the authentic endorsement, not the pixels.
2. **We benefit either way.** If AI-generated content becomes acceptable for some use cases (menu photos, announcement graphics), we add it as a feature. Donny already generates campaign briefs — generating the content itself is a natural extension. The marketplace (matching, payments,

compliance, delivery) remains valuable regardless of whether the content is AI-generated or human-created.

3. **The regulatory moat deepens.** AI-generated content has even more disclosure requirements than human content. The FTC has been expanding rules around AI-generated endorsements. More regulation = more compliance burden = more value in a platform that handles it automatically.

> **Year 1 investment in moat-building: $55K-$120K total.** That’s the entire combined budget for legal, compliance, ecosystem integrations, data flywheel infrastructure, and brand-verb seeding. Compare to the $4-5M payroll bloat a venture-backed competitor would carry to attempt the same. We win on capital efficiency.

Section 10: The Path to Profitability — What We Need to Do

Profitability is a function of three things: ARPU goes up, churn goes down, and CAC stays low. Here’s the playbook for the next 18 months, broken into four phases.

Phase 0 — Pre-launch (Now Through Launch Month)

Goal: ship the new pricing, instrument the data flywheel

- Roll out the Hybrid take-rate ladder pricing on launch day. Don’t wait.
- Instrument every event: brief generations, match acceptances, campaign completions, take-rate revenue, AI calls, DragonDash conversions. Day-one event logging is non-negotiable.
- Build the upgrade prompt that fires automatically when a Free user’s monthly take rate exceeds the Starter sub price (i.e. when staying on Free is costing them money).
- File trademarks, NDAs, IP assignments. Implement FTC auto-disclosure tagging.
- Switch Stripe from test mode to live mode.

Phase 1 — First Metro Launch (Months 1-3)

Goal: 20-30 creators, 5-10 restaurants, 70%+ search-to-fill rate

- Founder-led onboarding. No paid ads. Founder time at $50/hr shadow rate is the only acquisition cost.
- Creator referral program: $50-$100 per recruited creator or restaurant.
- Free DragonDash for first 3 deliveries to anchor restaurants.
- Total Phase 1 budget: $26,000-$50,000.

Phase 2 — Metro 2 and 3 (Months 4-9)

Goal: 100-200 paying restaurants across 2-3 metros, ARR $300-$600K

- Document the metro launch playbook from Phase 1. Replicate.
- City-specific SEO landing pages for free Google traffic.
- First case studies with real campaign ROI data published as content marketing.
- Submit Toast, Square, Google Business Profile partnership applications (long approval timelines).

Phase 3 — Scale and Stack (Months 10-18)

Goal: ARPU expansion from $250 to $400+ on existing customers

- Push DragonDash adoption hard — every customer should run at least one rush order per quarter.
- Activate Donny AI credit overage for power users.
- Net Revenue Retention > 110% target.
- First fine-tuned Donny AI model trained on accumulated campaign data.

The Kill-Switch Metrics

Metric	Healthy	Kill-Switch Trigger
Monthly customer churn	< 4%	> 6% for 2 months
CAC payback	< 6 months	> 12 months
LTV : CAC ratio	> 3 : 1	< 2 : 1
Search-to-fill rate per metro	> 70%	< 50% after 90 days
Revenue per employee	> $500K trending to $1M	< $400K
Net Revenue Retention	> 110%	< 95%

Section 11: What We Need from Partners and Investors

DragonCandy is structurally bootstrappable. We don't need venture capital to reach $2-4M annual profit. But we do need three things from this group, and the smaller the team stays, the bigger the profit gets.

1. Alignment on the Pricing Change

- Approve the Hybrid take-rate ladder model on launch day. Every month we run the flat 5% take rate is a month of compression on our most powerful conversion lever.
- Specifically: Free at 10% take rate, Starter at 7%, Growth at 5%, Pro at 3%, Enterprise at 2%.
- Lower the Starter monthly to $149 (from $199). The current $199 Starter has weak value vs. Free; the take-rate ladder is what justifies the upgrade.

2. A Small, Disciplined Phase 1 Budget

Phase 1 Line Item (90 days)	Budget
Creator referral bonuses	$3,000-$6,000
Free DragonDash credits for anchor restaurants	$2,000-$4,000
First-metro launch event + content production	$2,000-$3,000
Legal: trademarks (DragonCandy, Donny AI, DragonDash)	$4,000-$8,000
Provisional patents (campaign-from-URL, AI matching)	$2,000-$5,000
Initial SEO landing pages + content (3 cities)	$3,000-$6,000
Compliance build (FTC auto-tagging, audit trail)	$5,000-$8,000
Buffer / contingency	$5,000-$10,000
TOTAL — 90-day budget	**$26,000-$50,000**

3. Discipline on the Headcount Question

This is the most important ask, and the hardest. The math only works if we resist hiring until each new employee is generating $500K+ in revenue.

- Do not hire a salesperson until paid ads are profitable.
- Do not hire a customer success manager until at least 100 paying customers.

- Do not hire a second engineer until Donny AI plus our automation agents can’t keep pace with the dev backlog.
- Every hire before $500K revenue per head destroys the bootstrap thesis. Every hire after it accelerates it.

What We Are NOT Asking For

- We are not asking to raise venture capital.
- We are not asking to scale headcount ahead of revenue.
- We are not asking to chase $30M+ ARR in 24 months. That target requires $40-80M in funding and a 30-person team — and only top 1% of funded startups hit it.

> **The realistic target is $7-12M ARR with $2-5M in annual profit on a team of 8-12 by end of Year 3. That’s a top-quartile outcome, achievable with the team and product we already have, and it gets us to acquisition-readiness or independence — partner’s choice.**

Appendix: Definitions & Source Notes

Key Terms in Plain English

ARPU: Average Revenue Per User per month. The average dollar amount each customer spends with us monthly. Blended ARPU includes subscription + take rate + AI credits + DragonDash fees.

ARR: Annual Recurring Revenue. Monthly subscription revenue x 12. Excludes one-time DragonDash fees.

CAC: Customer Acquisition Cost. Total spend (marketing + sales + founder time) / new paying customers in the period.

CAC Payback: Months of subscription revenue needed to recover CAC. Sub-12 months is the Series A bar; we target sub-6.

LTV: Customer Lifetime Value. Total revenue from one customer over the entire time they use us. We assume a 2.5-3 year lifespan based on SMB SaaS benchmarks.

LTV:CAC Ratio: LTV / CAC. Healthy is 3:1 or better. Below 2:1 is a kill-switch.

Net Revenue Retention (NRR): Revenue from existing customers in period N / revenue from same customers in period N-1, including expansion and churn. > 110% means existing customers grow faster than they leave.

Take Rate: Platform fee as a percentage of campaign volume. Currently flat at 5%; recommended ladder of 10% / 7% / 5% / 3% / 2% by tier.

Search-to-fill rate: Percentage of campaign briefs that get matched and completed. Marketplace liquidity proxy. Target > 70%.

GMV: Gross Marketplace Volume. Total dollar value of all campaigns flowing through the platform. We earn the take rate on this number.

Churn: Percentage of customers who cancel each month. Below 4% is healthy for SMB SaaS.

SaaS: Software-as-a-Service. A business where customers pay a recurring monthly fee for software access (like Netflix, but for business tools).

Marketplace: A platform that connects buyers and sellers and takes a cut of each transaction (like Etsy, Airbnb, or Uber).

Escrow: A payment arrangement where money is held by a third party (Stripe, in our case) until both sides of a transaction confirm the work is done. Protects both the buyer and the seller.

Edge Function: A small piece of server code that runs on demand (like a vending machine — put in a request, get back a result). DragonCandy has 42 of these handling everything from AI chat to payment processing.

POS (Point of Sale): The system a restaurant uses to ring up customers. Toast is a popular POS. Our integration means promotional discount codes created on DragonCandy can be tracked and redeemed at the restaurant's actual cash register.

Take-Rate Ladder: A pricing model where the platform's percentage fee decreases as the customer pays a higher subscription. This gives customers a financial reason to upgrade — they save on take rate fees by paying a higher monthly subscription. Used by Upwork, Fiverr, Faire, and ShopMy.

Source Notes

All financial benchmarks and competitive comparisons in this document are drawn from the DragonCandy strategy library:

- DragonCandy's Realistic Path to Multi-Million Dollar Profit (bootstrapped scenario).
- Scaling DragonCandy to $30M (VC scenario, included for contrast).
- DragonCandy Moat Playbook (defensibility, legal, compliance).
- DragonCandy GTM Capital and CAC Playbook (phased budgets, blended CAC formula).
- DragonCandy V2 Improvement Playbook + Detailed SOW (services per role, dashboard structure).
- Donny Super Agent Roadmap (multi-surface AI strategy).
- Lovable.dev Pricing Analysis (current state assessment).

Codebase verification: All feature status labels (LIVE / IN DEV / PLANNED) were verified against the DragonCandy codebase (C:-v3-d783432b) on April 28, 2026. The codebase contains 63 page components, 140+ custom hooks, 42 Supabase edge functions, and integrations with Stripe, Toast POS, and Claude AI.

Restaurant marketing data from Deloitte Digital 2025 "State of Social." Take-rate benchmarks from public filings of Fiverr, Upwork, ShopMy, Faire, Agentio. AI cost benchmarks from current Anthropic API pricing.

This document is a strategic briefing, not formal financial advice or an offering memorandum. Forecasts are scenario-based and depend on execution. Numbers reflect realistic median outcomes; actual results will vary based on metro-launch velocity, churn discipline, and headcount restraint.

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Prepared by the DragonCandy Team — Updated April 2026